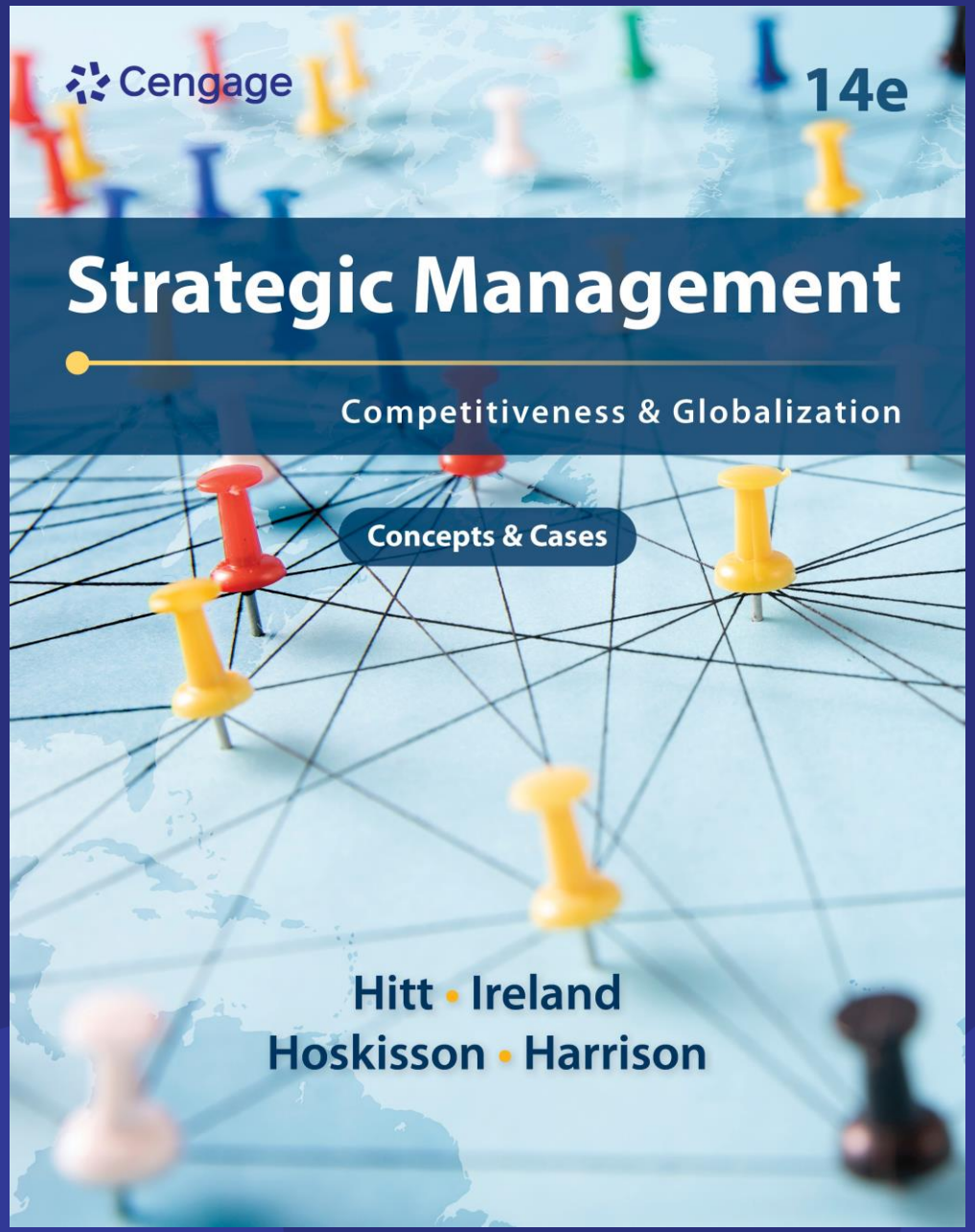


Chapter 3

The Internal Organization: Resources, Capabilities, Core Competencies, and Competitive Advantages

Learning Objectives

By the end of this chapter, you should be able to:

3.1 Explain why a firm needs to study and understand its internal organization.

3.2 Define value, and discuss its importance.

3.3 Describe the differences between tangible and intangible resources.

3.4 Define capabilities, and discuss their development.

3.5 Describe four criteria used to determine if resources and capabilities are core competencies.

3.6 Explain how firms analyze value chains to determine where they are able to create value when using their resources, capabilities, and core competencies.

3.7 Define outsourcing, and discuss reasons for its use.

3.8 Discuss the importance of identifying internal strengths and weaknesses.

3-1

Understanding the Firm’s Internal Environment

Understanding the Firm's Internal Environment (1 of 3)

- Firms and organizations achieve strategic competitiveness and earn above-average returns by acquiring, bundling, and leveraging their resources for the purpose of taking advantage of opportunities in the external environment in ways that create value for customers.
- Competitors will eventually learn how to duplicate the benefits of any firm's value-creating strategy.
  - Thus, all competitive advantages have a limited life.

Understanding the Firm's Internal Environment (2 of 3)

- In general, a competitive advantage's sustainability is a function of three factors:
  - The rate of core competence obsolescence because of environmental changes
  - The availability of substitutes for the core competence
  - The imitability of the core competence
- For all firms, the challenge is to effectively manage current core competencies while simultaneously developing new ones.
- Only when firms are able to do this can they expect to:
  - achieve strategic competitiveness.
  - earn above-average returns.
  - remain ahead of competitors in both the short and long term.

Understanding the Firm's Internal Environment (3 of 3)

- By analyzing its internal organization, a firm determines what it can do.
- Matching what a firm *can do* with what it *might do* yields insights for the firm to select its strategies.
  - *Can do*—a function of its resources, capabilities, and core competencies in the internal organization
  - *Might do*—a function of opportunities and threats in the external environment

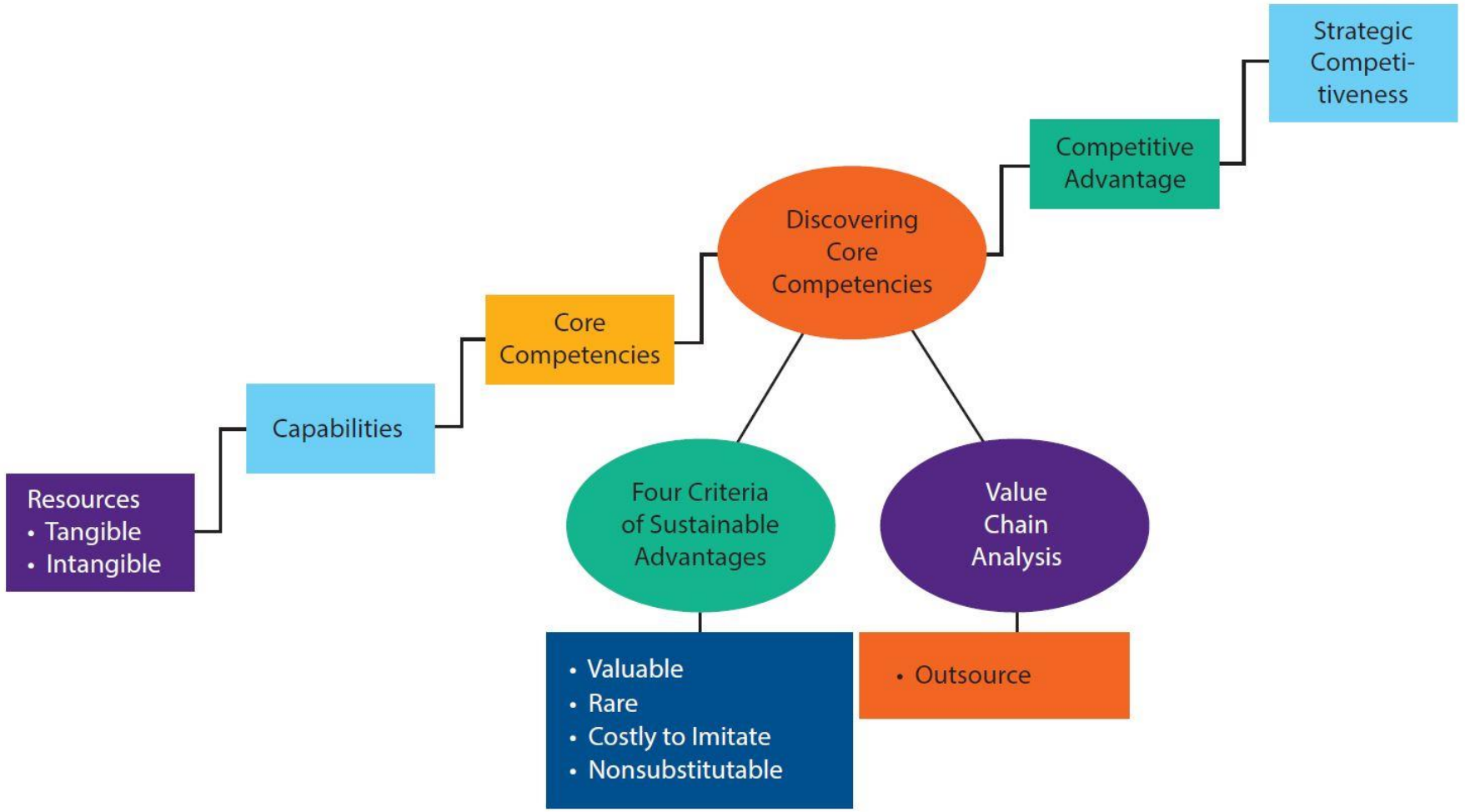
Why Understand the Internal Organization (1 of 2)

- In today's global economy, some of the resources that were traditionally critical to firms' efforts to produce, sell, and distribute their goods or services are now less likely to be the source of competitive advantages.
- This is because an increasing number of firms are using their resources to form core competencies through which they successfully implement an international strategy as a means of overcoming the advantages created by more traditional resources.

Why Understand the Internal Organization (2 of 2)

- Firms analyzing their internal organization should use a global mind-set to do so.
  - A **global mind-set** is the ability to analyze, understand, and manage an internal organization in ways that are not dependent on the assumptions of a single country, culture, or context.
- Analyzing the firm's internal organization requires that evaluators understand how to leverage the firm's unique bundle of resources and capabilities.

Figure 3.1
Components of an Internal Analysis



Knowledge Check 3-1

The source of capabilities is:

a. competition.

b. core competencies.

c. resources.

d. advantages.

3-2

Creating Value and Its Importance

Creating Value and Its Importance (1 of 3)

- **Value** is measured by a product's performance characteristics and by its attributes for which customers are willing to pay.
- Firms create value by innovatively building and leveraging their resources to form capabilities and core competencies.
- Ultimately, creating value for customers is the source of above-average returns for a firm.

- The strategic decisions managers make about the internal organization:
  - are nonroutine.
  - have ethical implications.
  - significantly influence the firm's ability to earn above-average returns.

Creating Value and Its Importance (2 of 3)

- Making decisions regarding the firm's assets:
  - involves identifying, developing, deploying, and protecting resources, capabilities, and core competencies.
  - is challenging and difficult.
  - is increasingly internationalized.
- A firm can improve by studying its mistakes.
  - The learning generated by making and correcting mistakes can be important in the creation of new capabilities and core competencies.

Figure 3.2 Conditions Affecting Managerial Decisions About Resources, Capabilities, and Core Competencies

Condition	**Uncertainty**	Uncertainty exists about the characteristics of the firm's general and industry environments and customers' needs.
Condition	**Complexity**	Complexity results from the interrelationships among conditions shaping a firm.
Condition	**Intraorganizational Conflicts**	Intraorganizational conflicts may exist among managers making decisions as well as among those affected by the decisions.

Creating Value and Its Importance (3 of 3)

- In making decisions affected by these three conditions, judgment is required.
  - ***Judgment*** is the capability of making successful decisions when no obviously correct model or rule is available or when relevant data are unreliable or incomplete.
  - When exercising judgment, decision makers:
    - must be aware of possible cognitive biases, such as overconfidence.
    - often take intelligent risks.
- In a competitive landscape, executive judgment can become a valuable capability.

Polling Activity 3-2

Strategic leaders are individuals who need to make effective choices about the use and development of the firm's …

a. resources.

b. capabilities.

c. core competencies.

3-3

Resources, Tangible and Intangible

Resources, Tangible and Intangible (1 of 4)

- The foundations of competitive advantage are:
  - Resources
  - Capabilities
  - Core competencies
- **Resources** are bundled to create organizational capabilities.
- **Capabilities** are the source of a firm's core competencies, which are the basis of establishing competitive advantages.

Resources, Tangible and Intangible (2 of 4)

- Broad in scope, resources cover a spectrum of individual, social, and organizational phenomena.
- By themselves, resources do not allow firms to create value for customers as the foundation for earning above-average returns.
- Some of a firm's resources are tangible, while others are intangible.

- **Tangible resources** are assets that can be observed and quantified.
- Four primary categories of tangible resources are:
  - Financial
  - Organizational
  - Physical
  - Technological

Table 3.1 Tangible Resources

Financial Resources	• The firm's capacity to borrow • The firm's ability to generate funds through internal operations
Organizational Resources	• Formal reporting structures
Physical Resources	• The sophistication of a firm's plant and equipment and the attractiveness of its location • Distribution facilities • Product inventory
Technological Resources	• Availability of technology-related resources such as copyrights, patents, trademarks, and trade secrets

Sources: Adapted from J. B. Barney, 1991, Firm resources and sustained competitive advantage, *Journal of Management*, 17: 101; R. M. Grant, 1991, Contemporary Strategy Analysis, Cambridge: U.K.: Blackwell Business, 100–102.

Resources, Tangible and Intangible (3 of 4)

- **Intangible resources** are assets that are rooted deeply in the firm's history, accumulate over time, and are relatively difficult for competitors to analyze and imitate.
- Three primary categories of intangible resources are:
  - Human
  - Innovation
  - Reputational

Table 3.2 Intangible Resources

Human Resources	• Knowledge • Trust • Skills • Abilities to collaborate with others
Innovation Resources	• Ideas • Scientific capabilities • Capacity to innovate
Reputational Resources	• Brand name • Perceptions of product quality, durability, and reliability • Positive reputation with stakeholders such as suppliers and customers

Sources: Adapted from R. Hall, 19 92, The strategic analysis of intangible resources, *Strategic Management Journal*, 13: 136–139; R. M. Grant, 19 91, *Contemporary Strategy Analysis*, Cambridge U.K.: Blackwell Business, 101–104.

Resources, Tangible and Intangible (4 of 4)

- Tangible Resources:
  - are hard to leverage.
  - are difficult to derive additional business or value from.
- Intangible Resources:
  - are less visible and more difficult for competitors to understand, purchase, imitate, or substitute for.
  - are more relied on to be the foundation for a firm's capabilities.
  - can be leveraged.

Knowledge Check 3-3

Which of the following are an intangible resource?

a. Manufacturing facilities

b. Distribution centers

c. Formal reporting structures

d. Managerial capabilities

3-4

Capabilities and Core Competencies

Capabilities and Core Competencies

- **Capabilities** are:
  - created by combining individual tangible and intangible resources.
  - used to complete the organizational tasks required to produce, distribute, and service the goods or services the firm provides to customers.
  - the foundation for building core competencies and competitive advantages.
  - often based on developing, carrying, and exchanging information and knowledge through the firm's human capital.
  - **Strategic human capital** allows a firm to develop capabilities through matching the knowledge, skills, and abilities of their employees to particular strategic objectives.

Table 3.3 Example of Firms' Capabilities (1 of 2)

Functional Areas	Capabilities	Examples of Firms
Distribution	• Effective use of logistics management techniques	• Walmart
Human Resources	• Motivating, empowering, and retaining employees	• Microsoft
Management Information Systems	• Effective and efficient control of inventories through point-of-purchase data collection methods	• Walmart
Marketing	• Effective promotion of brand-name products • Effective customer service • Innovative merchandising	• Procter & Gamble • Ralph Lauren Corp. • McKinsey & Co. • Nordstrom Inc. • Crate & Barrel

Table 3.3 Example of Firms' Capabilities (2 of 2)

Functional Areas	Capabilities	Examples of Firms
Management	• Ability to envision the future of clothing	• Hugo Boss • Zara
Manufacturing	• Design and production skills yielding reliable products • Product and design quality • Miniaturization of components and products	• Komatsu • Witt Gas Technology • Sony
Research & Development	• Innovative technology • Development of sophisticated elevator control solutions • Rapid transformation of technology into new products and processes • Digital technology	• Caterpillar • Otis Elevator Co. • Chaparral Steel • Thomson Consumer Electronics

Core Competencies

- Are capabilities that serve as a source of competitive advantage for a firm over its rivals
- Distinguish a company competitively and reflect its personality.
- Emerge over time through an organizational process of accumulating and learning how to deploy different resources and capabilities
- The activities the company performs especially well compared to competitors
- The activities through which the firm adds unique value to the goods or services it sells to customers

Building Core Competencies

- **Two tools** help firms identify their core competencies:
  - The four criteria of sustainable competitive advantage
  - Value chain analysis

Knowledge Check 3-4

Effective customer service is a capability within which of the following functional areas?

a. Distribution

b. Human resources

c. Marketing

d. Management

3-5

The Four Criteria of Sustainable Competitive Advantage

The Four Criteria of Sustainable Competitive Advantage (1 of 2)

- Capabilities that are valuable, rare, costly to imitate, and nonsubstituable are core competencies.
- Capabilities failing to satisfy the four criteria are not core competencies, meaning that although every core competence is a capability, not every capability is a core competence.
- In slightly different wording:
  - For a capability to be a core competence, it must be valuable and unique from a customer's point of view.
  - For a core competence to be a potential source of competitive advantage, it must be inimitable and nonsubstitutable by competitors.

Table 3.4 The Four Criteria of Sustainable Competitive Advantage

Valuable Capabilities	• Help a firm neutralize threats or exploit opportunities
Rare Capabilities	• Are not possessed by many others
Costly-to-Imitate Capabilities	• Historical: A unique and a valuable organizational culture or brand name • Ambiguous cause: The causes and uses of a competence are unclear • Social complexity: Interpersonal relationships, trust, and friendship among managers, suppliers, and customers
Non substitutable Capabilities	• No strategic equivalent

The Four Criteria of Sustainable Competitive Advantage (2 of 2)

- Core competencies are:
  - Valuable
    - **Valuable capabilities** allow the firm to exploit opportunities or neutralize threats in its external environment.
  - Rare
    - **Rare capabilities** are capabilities that few, if any, competitors possess.
  - Costly to imitate
    - **Costly-to-imitate capabilities** are capabilities that other firms cannot easily develop.
  - Nonsubstitutable
    - **Nonsubstitutable capabilities** are capabilities that do not have strategic equivalents.

Table 3.5 Outcomes from Combinations of the Criteria for Sustainable Competitive Advantage

Is the Capability Valuable?	Is the Capability Rare?	Is the Capability Costly to Imitate?	Is the Capability Nonsubstitutable?	Competitive Consequences	Performance Implications
No	No	No	No	Competitive disadvantage	Below-average returns
Yes	No	No	Yes/No	Competitive parity	Average returns
Yes	Yes	No	Yes/No	Temporary competitive advantage	Average returns to above-average returns
Yes	Yes	Yes	Yes/No	Sustainable competitive advantage	Above-average returns

Polling Activity 3-5

Which type of capability contributes the most to a sustainable competitive advantage?

a. Valuable capability

b. Rare capability

c. Costly to imitate capability

d. Nonsubstitutable capability

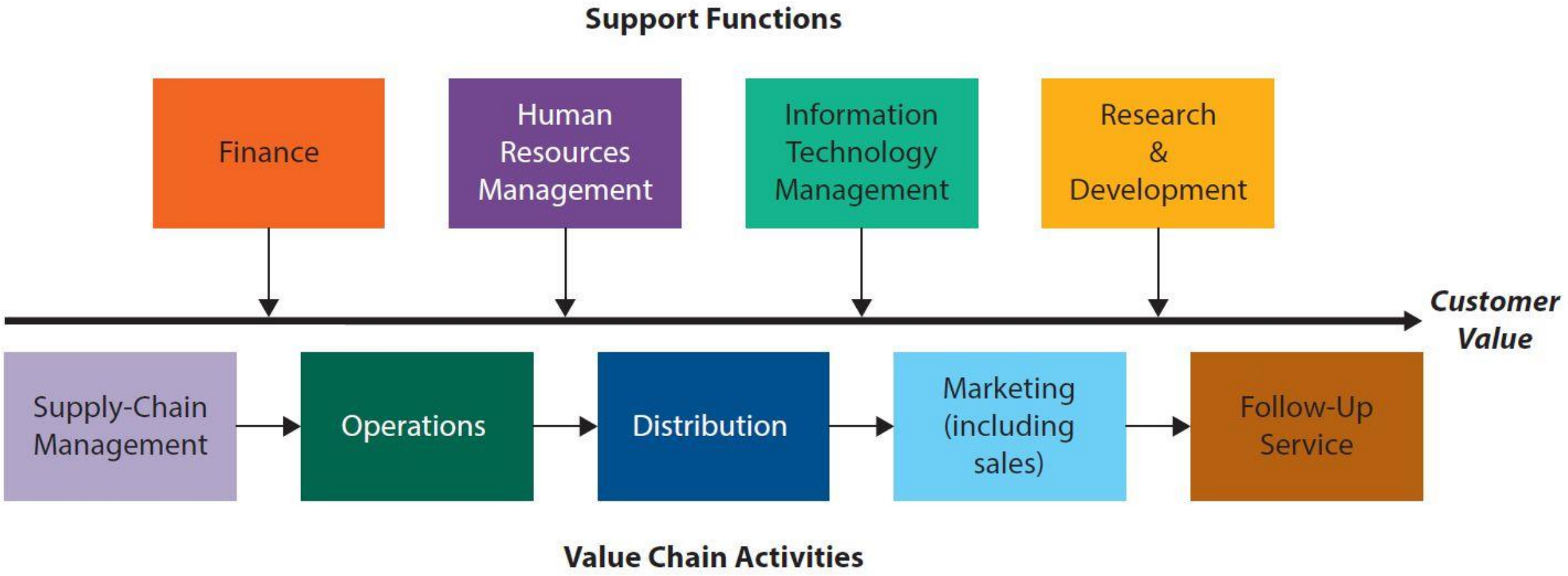
3-6

Value Chain Analysis

Value Chain Analysis (1 of 4)

- Value chain analysis allows the firm to understand the parts of its operations that create value and those that do not.
- Understanding these issues is important because the firm earns above-average returns only when the value it creates is greater than the costs incurred to create that value.
- The value chain is a template that firms use to analyze their cost positions and to identify the multiple means that can be used to facilitate implementation of their chosen strategies.

Figure 3.3 A Model of the Value Chain



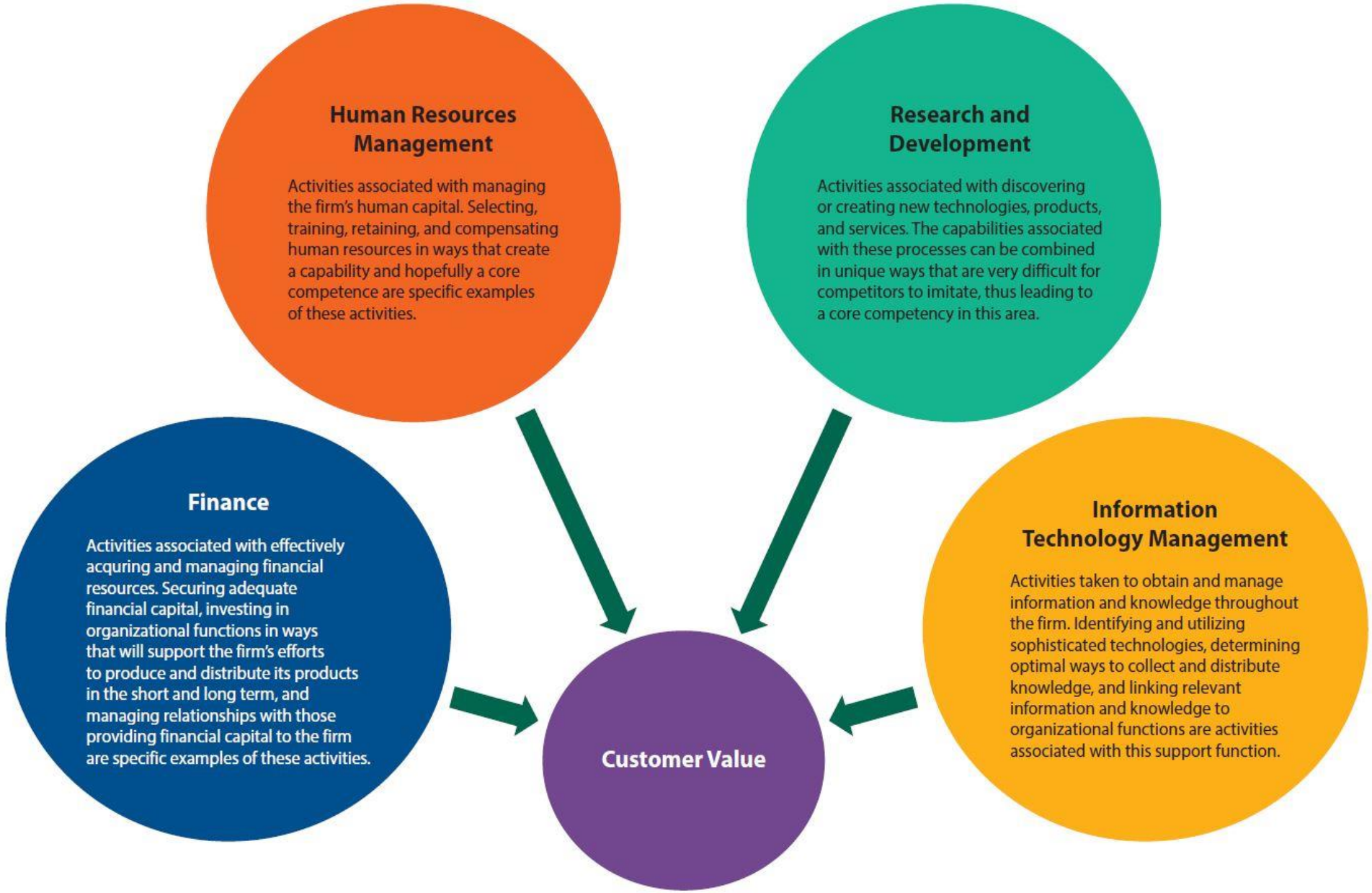
Value Chain Analysis (2 of 4)

- Value chains are segmented into:
  - **Value chain activities** are activities or tasks the firm completes in order to produce products and then sell, distribute, and service those products in ways that create value for customers.
  - **Support functions** include the activities or tasks the firm completes in order to support the work being done to produce, sell, distribute, and service the products the firm is producing.
- A firm can develop a capability and/or a core competence in any of the value chain activities and support functions.

Figure 3.4 Creating Value through Value Chain Activities



Figure 3.5 Creating Value through Support Functions



Value Chain Analysis (3 of 4)

- All items in both figures should be evaluated relative to competitors' capabilities and core competencies.
- To become a core competence and a source of competitive advantage, a capability must allow the firm to either:
  - perform an activity in a manner that provides value superior to that provided by competitors, or
  - perform a value-creating activity that competitors cannot perform.
- Value chain analysis can help managers determine which activities hold the most potential for the firm to develop a competence.

Value Chain Analysis (4 of 4)

- Value chain analysis can also be used to look for deficiencies in the organization that could be holding back the creation of value.
- This part of the analysis rests on the assumption that a firm is a value creation system.
- In a **value creation system**, each part of a system depends on other parts of the system to create value.
- Creating value for customers by completing activities that are part of the value chain requires building strong and productive relationships with stakeholders (*social capital*).

Discussion Activity 3-6

Trust is identified as a potential source of competitive advantage.

Have you ever been involved in a situation in which trust was instrumental in accomplishing an organization's goals? If so, what outcomes were made possible because of trust?

Discussion Activity 3-6 Debrief

Have you ever been involved in a situation in which trust was instrumental in accomplishing an organization's goals? If so, what outcomes were made possible because of trust?

- The organizations we trust are the ones we are likely to frequent and recommend to others—which builds *social capital* for the company.
- Organizations with social capital have the potential to grow, expand, and reach new markets.

3-7

Reasons for Outsourcing

Reasons for Outsourcing (1 of 3)

- When the firm cannot create value in either a value chain activity or a support function, outsourcing is considered.
- **Outsourcing** is the purchase of a value-creating activity or a support function activity from an external supplier.
- Firms engaging in effective outsourcing:
  - increase their flexibility.
  - mitigate risks.
  - reduce their capital investments.
- Firms should use outsourcing only for activities where they:
  - cannot create value.
  - are at a substantial disadvantage compared to competitors.

Reasons for Outsourcing (2 of 3)

- Outsourcing can be effective because few, if any, organizations possess the resources and capabilities required to achieve competitive superiority in each value chain activity and support function.
- By nurturing **a smaller number of capabilities**, a firm:
  - increases the probability of developing core competencies and achieving a competitive advantage because it does not become overextended.
  - can fully concentrate on those areas in which it has the potential to create value.

Reasons for Outsourcing (3 of 3)

- There are concerns associated with outsourcing; two significant concerns are:
  - The potential loss in a firm's ability to innovate
  - The loss of jobs within the focal firm
- Firms are sometimes able to enhance their own innovation capabilities by studying how the companies to which they've outsourced complete those activities.

Knowledge Check 3-7

Outsourcing is concerned with how components, finished goods, or services will be:

a. distributed.

b. obtained.

c. produced.

d. managed.

3-8

Competencies, Strengths, Weaknesses, and Strategic Decisions

Competencies, Strengths, Weaknesses, and Strategic Decisions (1 of 2)

- By analyzing the internal organization, firms identify their strengths and weaknesses as reflected by their resources, capabilities, and core competencies.
- If a firm has weak capabilities or does not have core competencies in areas required to achieve a competitive advantage, it must acquire those resources and build the needed capabilities and competencies.

Competencies, Strengths, Weaknesses, and Strategic Decisions (2 of 2)

- Having a significant quantity of resources is not the same as having the “right” resources.
  - The “right” resources are those with the potential to be formed into core competencies as the foundation for creating value for customers and developing competitive advantages because of doing so.
- The ability of a core competence to be a permanent competitive advantage can’t be assumed.
  - All core competencies have the potential to become *core rigidities* that generate inertia and stifle innovation.

Knowledge Check 3-8

When a company assumes that a core competence will be a permanent competitive advantage, that competency runs the risk of becoming a core:

a. rigidity.

b. incompetence.

c. disadvantage.

d. resource.